

NCBA Group: HY'22 Earnings Note

NCBA Group PAT increased by 66.85% y/y to **KES 7.77Bn** while the EPS grew by a similar margin to **KES 4.72,** both were above our expectations. Growth was driven by a 20.10% y/y increase in Total operating income to **KES 28.98Bn** and a 6.12% y/y reduction in loan loss provisioning. Net-interest income grew at 10.23% y/y to **KES 14.18Bn** mainly driven by income from government papers as income from loans declined. Non-funded income grew 32.49% y/y to **KES 14.18Bn** on the back of increased digital transactions and a 121.94% y/y leap in income from forex trading to **KES 5.29Bn**. Subsequently, the revenue mix for NII:NFI shifted to 51:49 against the 56:44 recorded in HY'21, being one of the best balance in the banking industry. Effects of the lender's exposure to government securities was reflected in a fair value loss of KES 1.92Bn which is 2.26% of the for-sale government securities.

- **Digital Lending Drives Loan Book growth:** The bank's loan book increased 4.55% y/y to **KES 250.49Bn** with digital loans disbursed growing 24.63% y/y to **KES 339.00Bn**. Customer deposits grew 7.12% to **KES 468.49Bn** leading to the interest expense increasing 11.98% to **KES 10.13Bn** being an indication of the rising interest rates environment weighing down on deposit mobilization. Notably, allocation to government securities increased 22.09% y/y **to KES 232.94Bn** compared to most industry peers who have cooled off their allocations to government papers. Consequently, yield from assets declined 16bps to 10.00% while cost of funds increased 2bps to 4.20% adding margins pressure on the bank's NIMs at 5.41%.

- **Slower Operating Expenses growth drives efficiency:** The Cost to income ratio less impairment provisioning improved to 42.18% mainly on the back of enhanced digital transactions. Additionally, Total Operating Expenses increased slower at 4.60% y/y to **KES 17.08Bn** compared to a 20.10% growth in Total Operating Income. Against industry trend, the lender has been opening physical branches which we believe drove the 16.19% and 10.22% increase in staff costs and other operating expenses. Loan loss provisioning declined 6.12% y/y to **KES 5.56Bn** indicating a perception of reduced lending risk compared to a similar period in 2021.

- **Asset quality concerns persists:** Gross NPLs declined by 18.10% y/y to **KES 36.88Bn**. NPL ratio declined by 319 bps to 13.48% from 16.67% in HY'21 falling below the current industry average of 14.70%. Consequently, lower provisioning led to a reduced NPL Coverage to 62.78% from 67.97% in HY'21. We expect the asset quality of the bank to improve due to enhanced loan collection efforts and the approval and implementation of risk-based models.

26th August 2022

Current price: KES 28.55

Target price: KES 33.29

Upside: 16.60%

Recomm: BUY

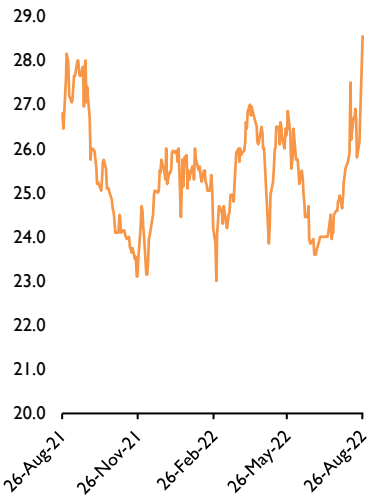
52 Week High: KES 28.55

52 Week Low: KES 23.00

YTD Performance: +13.29%

EPS (HY'22): KES 4.72

NCBA Group 1-Year Share Price Movement



Outlook

The impressive net earnings print was driven by increased operating income largely interest income from government securities supported by a decline in loan loss provisions and higher non-interest income. The opening of new physical branches goes against industry trend of branch closure. Concerns on the lender's asset quality were withered by a reduction in gross NPLs and improvement in NPL ratio. Unlike other peers, the bank increased allocations to government papers faster than the loan book growth could be an indication of focus on quick churn digital loans. High interest rate environment will continue weighing down on fair value adjustments on government papers as well as raising the cost of funds as competition for deposits intensifies.

Interim dividend of **KES 2.00** is likely to excite investors and contribute to a share price leap in the coming days. The counter is currently trading at a PE of 4.60x below market valuation PE of 7.70x and P/TB of 0.60x below industry average P/TB of 0.93x. Following the impressive results print, we upgrade our recommendation from HOLD to **BUY** with a target price of **KES 33.29** and a potential upside of **16.60%.**

Financial Statement Summary

Income Statement	FY'18	FY'19	FY'20	H1'21	FY'21	HY'22	% y/y Change
Net Interest Income	20.28	13.34	25.49	13.43	27.04	14.80	10.23%
Net non-Interest Income	16.14	20.32	20.94	10.70	22.11	14.18	32.49%
Total Operating income	36.42	33.66	46.44	24.13	49.15	28.98	20.10%
Provision for Impairment	(6.06)	(6.25)	(20.44)	(5.92)	(12.72)	(5.56)	-6.12%
Total Operating expenses	(24.15)	(20.36)	(40.03)	(16.33)	(33.45)	(17.08)	4.60%
Profit before tax	12.27	11.31	4.98	7.41	15.03	11.18	50.80%
Profit after tax	8.95	7.84	4.57	4.66	10.22	7.77	66.85%
Core EPS	12.71	11.14	2.77	2.83	6.21	4.72	66.85%
DPS	-	1.75	1.50	-	3.00	2.00	-

Balance Sheet	FY'18	FY'19	FY'20	H1'21	FY'21	HY'22	% y/y Change
Government Securities	129.73	145.02	163.55	190.79	218.81	232.94	22.09%
Loans and Advances	239.58	249.36	248.50	239.60	244.04	250.50	4.55%
Total Assets	453.61	494.84	527.95	542.60	591.09	604.30	11.37%
Customer Deposits	341.03	378.24	421.50	437.34	469.89	468.49	7.12%
Total Liabilities	387.21	427.58	455.41	468.16	513.10	524.04	11.94%
Shareholder's Funds	66.03	66.99	72.35	74.27	77.86	80.18	7.96%

Key Ratios	H1'21	H1'22	y/y change
Yield from Assets	10.16%	10.00%	-0.16%
Cost of funding	4.18%	4.20%	0.02%
Net Interest Margin	6.11%	5.41%	-0.70%
Non-Performing Loans (NPL)	16.67%	13.48%	-3.19%
Cost to Income Ratio	43.13%	39.75%	-3.38%
Loan to Deposit Ratio	54.79%	53.47%	-1.32%
Return on Average Equity	9.14%	9.95%	0.81%
Liquidity Ratio	60.32%	58.01%	-2.31%
Core Capital/TRWA	19.44%	19.94%	0.50%
Total Capital/TRWA	19.62%	19.94%	0.32%

Source: Company Fillings, AIB-AXYS



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